Department of Economics
University of Arkansas
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Tue/Thu 11.00 – Noon

ECON 6533 – International Development Economics II
2.00-4.45PM Tue, WJWH 334

Objective

This course concerns the microeconomics of development, with a focus on topics related to human capital accumulation as well as local cooperation. This is a second course in development economics, and students are presumed to have general knowledge about development and the major policy issues. This course complements the first with its emphasis on the empirical aspects of development economics.

A related objective of this course is to help student develop their empirical skills. Therefore, students are expected to have a good working knowledge of graduate-level microeconomic theory and econometrics. Some good reviews of the microeconometrics that are often used in empirical development research are Angrist and Pischke (2009). Wooldridge (2010), Deaton (1997), and the set of papers by Imbens and Wooldridge that are downloadable from the Institute for Poverty Research website at U of Wisconsin (http://www.irp.wisc.edu).

Course Readings

A detailed reading list follows this introduction. Articles will be available online, in the UA library, or will be provided. Specific articles from this list will be assigned each week as required reading. The list is still being updated and I will post an updated syllabus on the course Blackboard Site. Moreover, additional readings will be added to the required reading list during the course of the semester as students choose articles to present.

Course Requirements and Grading

Course grades will be determined by presentations (50%), a take-home midterm (25%), and a term paper (25%).

Presentations. Each student will be required to present 3 articles (or working papers) during the course of the semester. These papers presented will be related to the topic areas below. Each presentation will include distribution of a two page (minimum) "referee report" that summarizes and critiques the article and a PowerPoint (or equivalent) presentation.

A take-home midterm will be given on March 4th**.**

The term paper must be an empirical paper that utilizes data and explores a question of development. You need to propose a topic/research question before the end of February and you will present your paper's findings in the last class of the semester. My website (http://comp.uark.edu/~gaduh/others.html) lists links to potential datasets that you can use for the paper.

Readings

Background Econometrics

Deaton, A. (1997). *The Analysis of Household Surveys: A Microeconometric Approach to Development Policy.* Baltimore: The Johns Hopkins Press

Angrist, J. and J-S Pischke. 2009. *Mostly Harmless Econometrics*. Princeton: Princeton University Press.

Imbens, Guido and Jeffrey Wooldridge. 2009. "Recent developments in the econometrics of program evaluation", *Journal of Economic Literature*, 47(1):5-86.

Imbens, G. and Wooldridge, J. 2008. Lectures in Microeconometrics, IRP, University of Wisconsin.

Poverty, inequality, and measurements (Not covered in class)

Duclos, J-Y and A-K Araar (2005). Poverty and Equity: Measurement, Policy and Estimation with DAD, manuscript, chapters 1-6, 9-11. Downloadable from: http://www.idrc.ca/EN/Resources/Publications/Pages/IDRCBookDetails.aspx?PublicationID=324

Deaton, A. (1997). The Analysis of Household Surveys, chapter 3.1.

Atkinson, A.B. (1987). On the Measurement of Poverty, Econometrica, 55.4:749-764.

Chen, S. and M. Ravallion. 2010. The developing world is poorer than we thought but no less successful in the fight against poverty, *Quarterly Journal of Economics*, 125(4):1577-1625.

Program Evaluation

Angrist, J. and J-S Pischke. 2009. *Mostly Harmless Econometrics*. Princeton: Princeton University Press.

Imbens, Guido and Jeffrey Wooldridge. 2009. "Recent developments in the econometrics of program evaluation", *Journal of Economic Literature*, 47(1):5-86.

M. Ravallion. 2008. Evaluating anti-poverty programs, in T.P. Schultz and J. Strauss (eds.), *Handbook of Development Economics, Volume 4*, Amsterdam: North Holland Press.

Todd, P. 2008. Evaluating social programs with endogenous program placement and selection of the treated, in T.P. Schultz and J. Strauss (eds.), *Handbook of Development Economics, Volume 4*, Amsterdam: North Holland Press.

Duflo, E., R. Glennerster and M. Kremer. 2008. Using randomization in development economics research: A toolkit, in T.P. Schultz and J. Strauss (eds.), *Handbook of Development Economics, Volume 4*, Amsterdam: North Holland Press.

Imbens, Guido and Thomas Lemieux. 2008. "Regression discontinuity designs: A guide to practice", *Journal of Econometrics*, 142(2):615-635.

Deaton, Angus. 2010. Instruments, randomization and learning about development, *Journal of Economic Literature*, 48(2):424-455.

Heckman, James J. 2010. Building bridges between structural and program evaluation approaches to evaluating policy, *Journal of Economic Literature*, 48(2):356-398.

Imbens, Guido. 2010. Better LATE than nothing: Some comments on Deaton (2009) and Heckman and Urzua (2009), *Journal of Economic Literature*, 48(2):399-423

Agricultural Household Model

Singh, I., L. Squire and J. Strauss (eds.), (1986). *Agricultural Household Models: Extensions, Applications and Policy*, Baltimore: Johns Hopkins University Press, chapters 1,2.

Strauss, J., (1986). The theory and comparative statics of agricultural household models: a general approach, in I. Singh, L. Squire and J. Strauss (eds.), *Agricultural Household Models*.

Rosenzweig, M. (1980). Neoclassical theory and the optimizing peasant: an econometric analysis, *Quarterly Journal of Economics*, 95:31-55.

Benjamin, D. (1992). Household composition, labor markets and labor demand: testing for separation in agricultural household models, *Econometrica*, 60:287-298.

Strauss, J. and D. Thomas, (1995). Human resources: empirical modeling of household and family decisions, in T.N. Srinivasan and J. Behrman (eds.), *Handbook of Development Economics, Volume 3A*, Amsterdam: North Holland Press, Introduction.

Bardhan, P. and C. Udry (1999). *Development Microeconomics*, Oxford University Press. Chapter 2.

Ben-Porath, Y., (1980). The f-connection: families, friends and firms and the organization of exchange, *Population and Development Review*, 6:1-30.

Townsend, R., (1994). Risk and insurance in village India, *Econometrica*, 62:539-592.

Rosenzweig, M. (1988). Risk, implicit contracts and the family in rural areas of low income countries, *Economic Journal*, 98:1148-1170.

Rosenzweig, M. and O. Stark, (1989). Consumption smoothing, migration and marriage: evidence from rural India, *Journal of Political Economy*, 97:905-926.

Rosenzweig, M. and H. Binswanger, (1993). Wealth, weather risk and the composition and profitability of agricultural investments, *Economic Journal*, 103:56-78.

Behrman, J., A. Foster and M. Rosenzweig, (1997). Dynamic Savings Decisions in Agricultural Environments With Incomplete Markets, *Journal of Business and Economic Statistics*, 15:282-92.

Returns to Education

Background reading: Card, D. (2001). Estimating the returns to schooling: Progress on some persistent econometric problems, *Econometrica*, 69.5:1127-1160.

Schultz, T.P., (1988). Education investments and returns, in H. Chenery and T.N. Srinivasan (eds.), *Handbook of Development Economics, Volume 3,* Amsterdam: North Holland Press, sections 3 and 4.

Rosenzweig, M. (2010). Microeconomic Approaches to Development: Schooling, Learning and Growth, *Journal of Economic Perspectives*, 24(3):81-96.

Strauss, J. and D. Thomas, (1995). Human resources: empirical modeling of household and family decisions, Section 5.

Sahn, D. and H. Alderman (1988). The effects of human capital on wages and the determinants of labor supply in a developing country, *Journal of Development Economics*, 29:157-183.

Boissiere, M., J. Knight and R. Sabot, (1985). Earnings, schooling, ability and cognitive skills, *American Economic Review*, 75:1016-1030.

Heckman, J. and J. Hotz, (1986). An investigation of labor market earnings of Panamanian males: evaluating the sources of inequality, *Journal of Human Resources*, 21:507-542.

Behrman, J and B. Wolfe. (1984). The socio-economic impact of schooling in a developing country, *Review of Economics and Statistics*, 66(2):296-303.

Lam, D. and R. Schoeni, (1993). Effects of family background on earnings and returns to schooling: evidence from Brazil, *Journal of Political Economy*, 101:710-740.

Behrman, J. and N. Birdsall, (1983). The quality of schooling: quantity alone is misleading, *American Economic Review*, 73:928-946.

Duflo, E. (2001). Schooling and Labor Market Consequences of School Construction in Indonesia: Evidence From an Unusual Policy Experiment", *American Economic Review*, 91:795-813.

Angrist, J. and V. Lavy. 1997. The Effect of a Change in Language of Instruction on the Returns to Schooling in Morocco, *Journal of Labor Economics*, 15:S48-76.

Angrist, J. (1995). The economic returns to schooling in the West Bank and Gaza Strip, *American Economic Review*, 85.5:1065-1087.

Health: Returns to Investment

Strauss, J. and D. Thomas, (1998). Health, nutrition and economic development, *Journal of Economic Literature*, 36.2:766-817.

Almond, D. (2006). Is the 1918 influenza pandemic over? Long term effects of *in utero* exposure in the post 1940 US population, *Journal of Political Economy*, 114(4):672-712.

Hoddinott, J., J. Maluccio, J Behrman, R. Flores and R. Martorell. 2008. Effect of a nutrition intervention during early childhood on economic productivity in Guatemalan adults, Lancet, 371:411-416 (plus web appendix).

Health and Education

Miguel E. and M. Kremer (2004). Worms: Identifying impacts on education and health in the presence of treatment externalities, *Econometrica*, 72.1:159-217.

Baird, S., J.H. Hicks, M. Kremer, E. Miguel (2011). Worms at work: Long-run Impacts of Child Health Gains".

Alderman, H., J. Hoddinott and B. Kinsey. 2006. Long term consequences of early childhood malnutrition, *Oxford Economics Papers*, 58(3):450-474.

Alderman, Harold; Jere R. Behrman; Victor Lavy and Rekha Menon. 2001. "Child Health and school enrollment: A longitudinal analysis", *Journal of Human Resources*, 31(1):185-205.

Maluccio, J., J. Hoddinott, J. Behrman, R. Martorell, A. Quisumbing, and A. Stein. (2009). The impact of improving nutrition during early childhood on education among Guatemalan adults, *Economic Journal*.

Case, A. and C. Ardington. 2006. The impact of parental death on school outcomes: Longitudinal data from South Africa, *Demography*, 43:401-420.

Evans, D. and E. Miguel, 2007. Orphans and schooling in Africa: A longitudinal analysis, Demography, 44(1):35-58.

Collective Action and Community-Driven Development

Banerjee, A., L. Iyer, and R. Somanathan. 2008. Public Actions for Public Goods. in T.P. Schultz and J. Strauss (eds.), *Handbook of Development Economics, Volume 4*, Amsterdam: North Holland Press.

Bjorkman, M. and J. Svensson. Power to the People: Evidence from a Randomized Field Experiment on Community-Based Monitoring in Uganda. 2009. *The Quarterly Journal of Economics*, 124(2): 735-769

Olken, B. 2007. Monitoring corruption: Evidence from a field experiment in Indonesia, *Journal of Political Economy*, 115(2):200-249.

Alatas, Vivi, Abhijit Banerjee, Rema Hanna, Benjamin A. Olken, and Julia Tobias. 2012. "Targeting the Poor: Evidence from a Field Experiment in Indonesia." *American Economic Review*, 102(4): 1206-40.

Networks, Norms, Interactions

Conley, T. and C. Udry. 2010. Learning About a New Technology: Pineapples in Ghana, *American Economic Review*, 100(1):35-69.

Cox, D. and M. Fafchamps. 2008. "Extended family and kinship networks: Economic insights and evolutionary directions", in T.P. Schultz and J. Strauss (eds.), *Handbook of Development Economics, Volume 4*, Amsterdam: North Holland Press.

Fafchamps, Marcel (2004) *Market Institutions in Sub-Saharan Africa*, MIT Press, (Chapters 1, 2, 22)

Fafchamps, Marcel, "Spontaneous Markets, Networks, and Social Capital: Lessons from Africa", in *The Microeconomics of Institutions*, Tim Besley and Raji Jayaraman (eds.), MIT Press, 2010. http://www.economics.ox.ac.uk/members/marcel.fafchamps/homepage/venicexb.pdf

Fafchamps, Marcel, Sanjeev Goyal and Marco van der Leij. 2010, "Matching and network effects," *Journal of European Economic Association*.

Greif, Avner, 1993, "Contract Enforceability and Economic Institutions in Early Trade: The Maghribi Traders' Coalition" *American Economic Review* 83(3), 1993, pp.525-548.

Culture, Social Norms, and Development

Becker, Sascha O., and Ludger Woessmann, 2009, "Was Weber Wrong? A Human Capital Theory of Protestant Economic History," *Quarterly Journal of Economics*, vol. 124(2), 531-596.

Licht, Amir N., Chanan Goldschmidt, and Shalom H. Schwartz, 2007, Culture rules: The foundations of the rule of law and other norms of governance, *Journal of Comparative Economics*, 35 659–688

Greif, Avner, 1994, "Cultural Beliefs and the Organization of Society: A Historical and Theoretical Reflection on Collectivist and Individualist Societies", *The Journal of Political Economy* 102 (5), October, pp. 912-950

Tabellini, Guido, 2008, "The Scope of Cooperation: Values and Incentives," *Quarterly Journal of*

Economics, v. 123, pp. 905–950.

Miguel, Edward, and Ray Fisman, 2007, "Corruption, Norms and Legal Enforcement: Evidence from Diplomatic Parking Tickets," *Journal of Political Economy* 115: pp. 1020–1048.

Miguel, Edward, Sebastian Saiegh, and Shanker Satyanath, 2011, "Civil War Exposure and Violence", *Economics and Politics*, Economics & Politics 23(1), March, pp. 59–73, March 2011

Nunn, Nathan, and Leonard Wantchekon, 2011, "The Slave Trade and the Origins of Mistrust in Africa," American Economic Review, 101(7): 3221-52.